URBAN ECONOMICS · ORAL PRESENTATION

Growth and the City

What is the correlation between economic growth and urbanization?

PART I · DEFINITIONS

What is urbanization?

The increasing concentration of a country’s population in urban areas. The **urbanization rate** is the share of the total population living in them.

Density

Many people living and working in a small area.

Continuous built-up area

No large gaps between buildings.

A labor market

A place where people both live and work.

“Urban” is defined differently in each country, which limits international comparisons.

PART I · DEFINITIONS

What is economic growth?

An increase in the production of goods and services in an economy over time.

We use **GDP per capita**, because the countries in our sample have very different population sizes.

OUR OBJECTIVE

Compare the evolution of GDP per capita and the urbanization rate.

PART I · THEORY

Why could the two be linked?

DIRECTION 1

Development leads to urbanization

Structural transformation moves activity from rural agriculture to industry and services, which are concentrated in cities. Rising incomes raise demand for manufactured goods, and workers migrate to urban jobs.

DIRECTION 2

Urbanization leads to growth

Agglomeration economies: firms and workers **share** infrastructure, larger labor markets improve **matching**, and proximity speeds up **learning**.

PART I · RESEARCH QUESTION

Our question

Do countries that experience greater urbanization also experience greater economic growth?

Urbanization can be a consequence of development, but cities can also drive growth: causality may run both ways.

PART II · DATA AND METHOD

Two steps, one dataset

1

Cross-section, 2023

Is GDP per capita correlated with the urbanization rate?

2

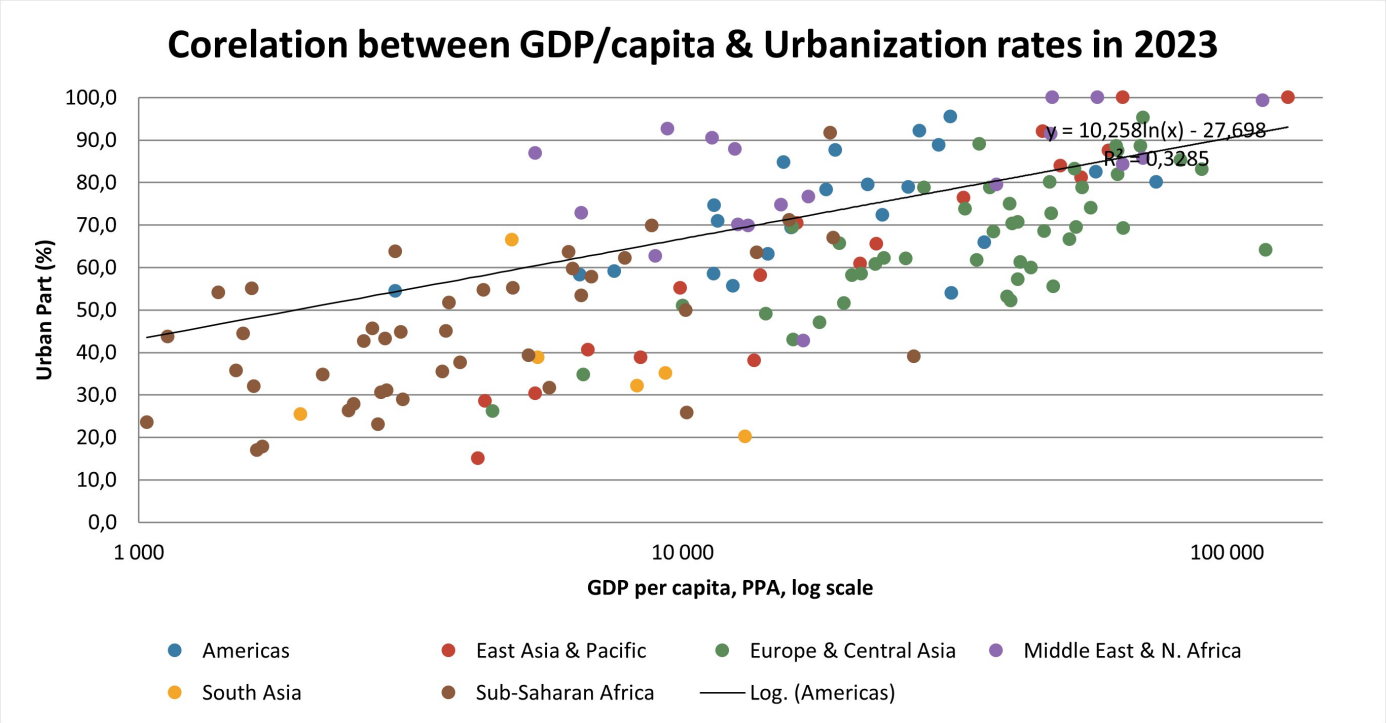
Growth test, 1990–2023

Do countries that urbanize faster also grow faster?

Data: World Bank WDI, urban population (% of total) and GDP per capita.

RESULT 1 · LEVELS

Richer countries are more urban



0.73

correlation between urban share and log GDP per capita

0.54

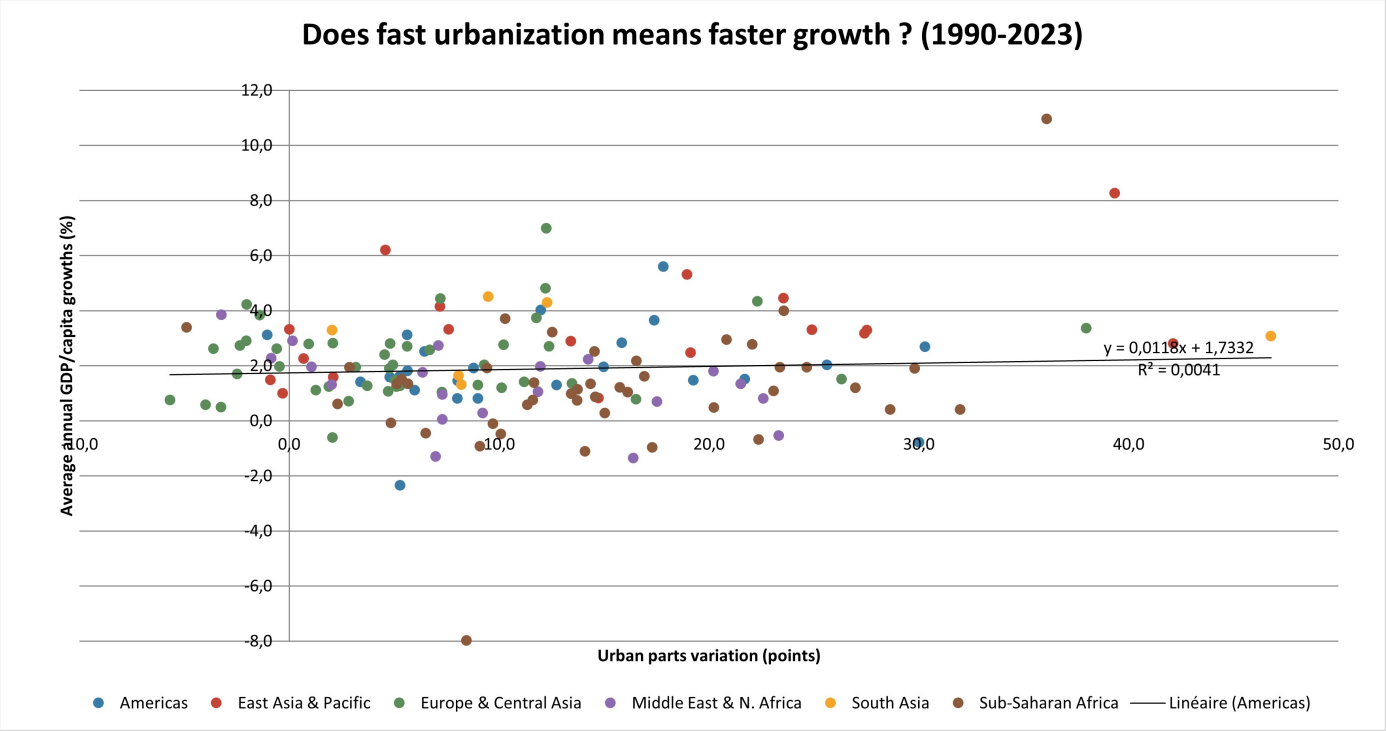
R^2, share of the variation explained by income

Strong association, but it does not say which one drives the other.

Source: World Bank, World Development Indicators. Countries with more than 1 million inhabitants.

RESULT 2 · RATES

Urbanizing faster does not mean growing faster



0.15

correlation between the pace of urbanization and average growth

0.02

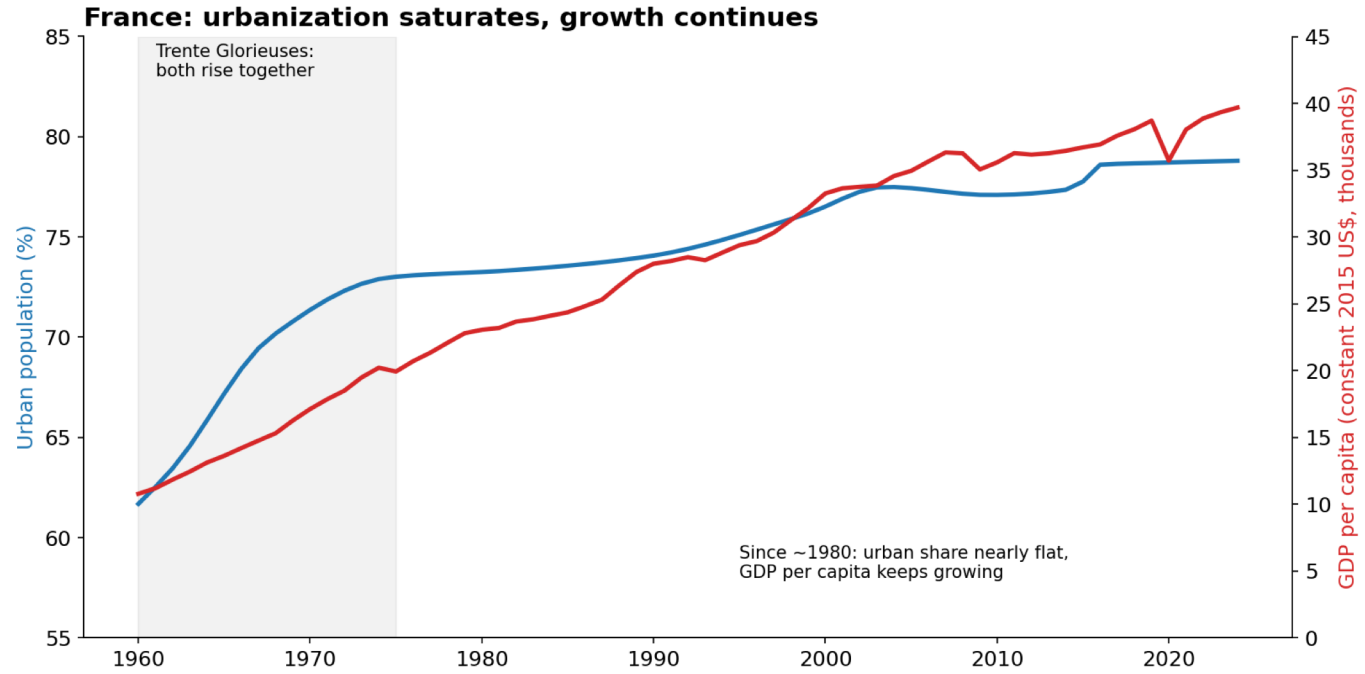
R^2, almost nothing explained

Speed of urban growth and economic dynamism are two distinct dynamics.

Source: World Bank, World Development Indicators. Countries with more than 1 million inhabitants.

PART III · CONCLUSION

France: growth continued, urbanization stopped



62% → 73%

urban share, 1960–1980

73% → 79%

urban share since 1980

+72%

GDP per capita since 1980

Source: World Bank WDI. The small jump in 2016 is a data revision.

PART III · THE ANSWER

So, what is the correlation?

0.73

Strong in levels

Richer countries are clearly more urban.

0.15

Weak in rates

Urbanizing faster does not make a country grow faster.

H1

Growth comes first

Past growth predicts later urbanization, not the reverse.

Cities follow prosperity more than they create it.

PART III · LIMITATIONS

What our study cannot say

Correlation ≠ causation

Institutions, education or natural resources could drive both.

Measurement

“Urban” differs by country; series have breaks, like France in 2016.

France

Already highly urbanized, it says little about developing countries.

Aggregate data

National averages hide what happens inside countries (Desmet & Henderson).

PART III · OPENINGS

Three forces that could change the relationship

Remote work

May weaken the pull of large cities.

Deindustrialization

What drives cities once factories leave?

Consumption cities

Resource-rich countries with cities that are urban but not productive.

Thank you

Questions?

SOURCES

World Bank, World Development Indicators: GDP per capita (constant 2015 US$) and Urban population (% of total population).

Desmet, K. & Henderson, J. V. (2015). The Geography of Development Within Countries. Handbook of Regional and Urban Economics, vol. 5.